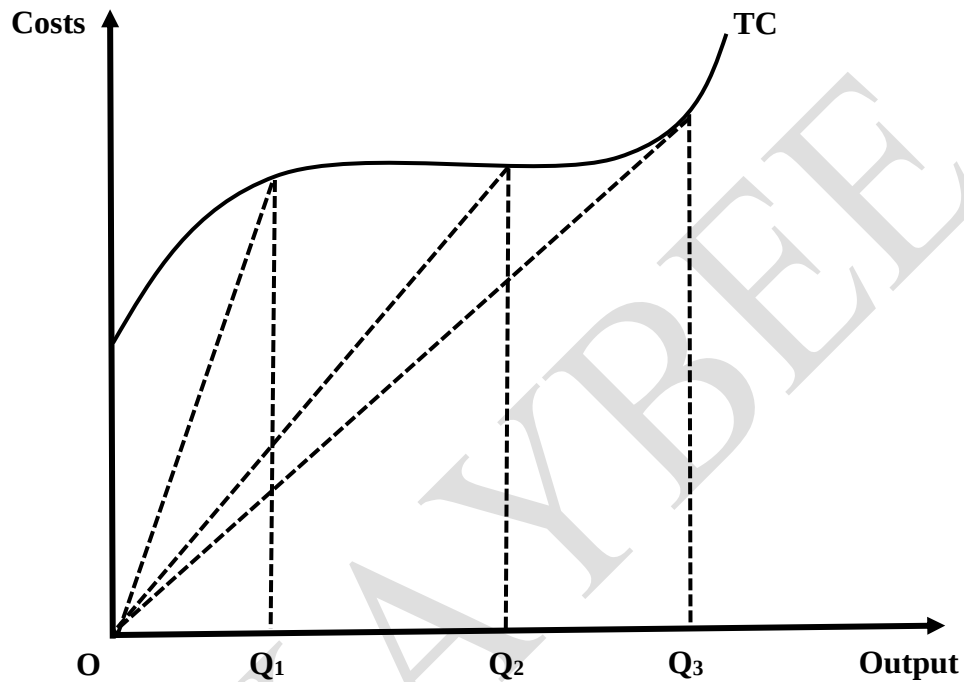


TYPES OF COST, REVENUE AND PROFIT

- 1 In the diagram below, total cost is a firm's short-run total cost curve.



Which statement is correct?

- A Average total cost is minimised at output OQ₂
- B Average variable cost is minimised at output OQ₁
- C Average variable cost is minimised at output OQ₃
- D Marginal cost is minimised at output OQ₂

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- 2 The table below shows the total cost of a firm.

Output	Total cost (\$)
0	40
1	55
2	60
3	65
4	80

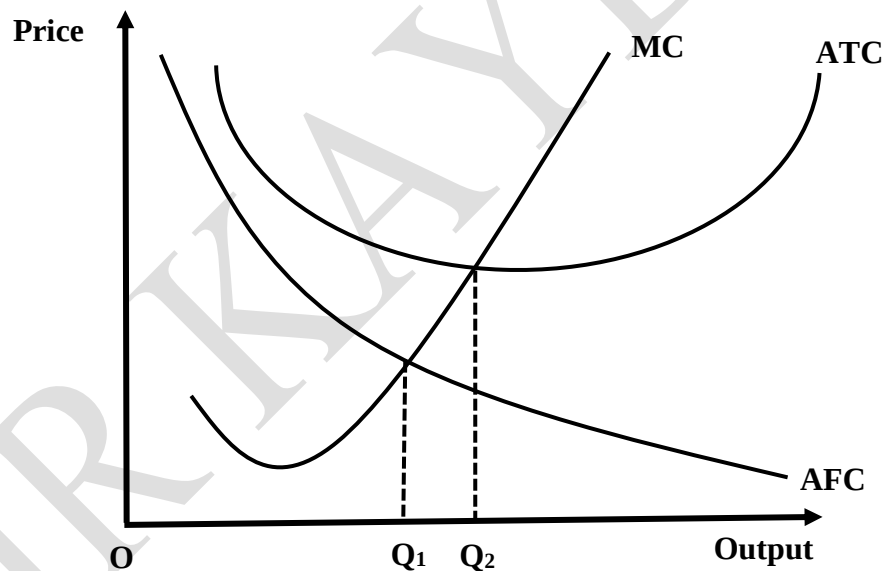
What is the average variable cost of producing 4 units of output?

- A** \$10
- B** \$15
- C** \$20
- D** \$40
- 3 Which is not a source of market failure?
- A** Imperfect information
- B** Income inequality
- C** Monopoly
- D** Non-excludability
- 4 The government wants to regulate the consumption of a demerit good in order to increase society's net welfare. In which situation will society's net welfare increase?
- A** The fall in the marginal social benefit is greater than the fall in the marginal social cost.
- B** The fall in the marginal social cost is greater than the fall in the marginal social benefit.
- C** The fall in the total social benefit is greater than the fall in the total social cost.
- D** The fall in the total social cost is greater than the fall in the total social benefit.

- 5 In 2018, a large mining company said it would reduce the number of staff by 6 000 and sell its less profitable mines in an attempt to become more efficient. If it is successful, what is most likely to happen to its costs?

	Total fixed cost	Total variable cost	Average cost
A	Fall	Fall	Fall
B	Fall	Fall	No change
C	Fall	No change	Fall
D	No change	Fall	Fall

- 6 The diagram shows the cost curves for a firm.

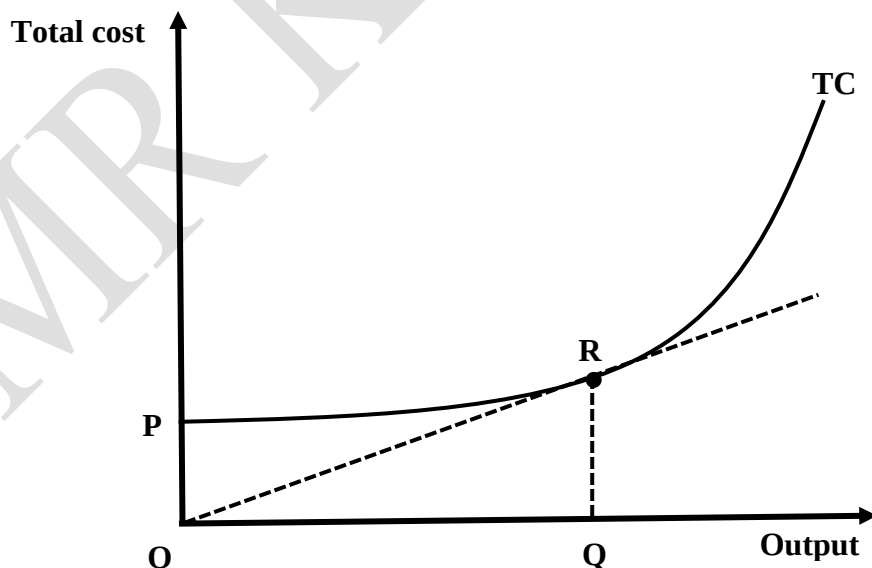


What does the firm experience as it increases output from Q_1 to Q_2 ?

- A Decreased average variable cost.
- B Diminishing returns.
- C Economies of scale.
- D Increased profit.

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- 7 If a firm's inputs increases by 10% and its output increases by 12% as a result, then the firm is subject to
- A constant returns to scale.
 - B diseconomies of scale.
 - C increasing returns to scale.
 - D decreasing returns to scale.
- 8 Normal profit is earned by an organisation when
- A marginal cost is equal to marginal revenue.
 - B marginal cost is equal to average cost.
 - C marginal cost is equal to average revenue.
 - D average cost is equal to average revenue.
- 9 In the diagram below, the curve total curve shows the relationship between a firm's total costs and its level of output.



At output **OQ** average fixed costs are

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- A** equal to $\frac{OP}{QR}$
- B** equal to $\frac{OR}{OQ}$
- C** equal to $\frac{OP}{OQ}$
- D** measured by the slope of the line OR

- 10** In the year ending July 2016, airline fuel prices fell by 20.4% while the price of passenger aircraft increased by around 1.1%. Assuming no other changes in the passenger airline industry, what was the outcome for fixed costs and variable costs?

	Fixed costs	Variable costs
A	Decreased	Decreased
B	Decreased	Increased
C	Increased	Decreased
D	Increased	Increased

- 11** The schedule below shows the short-run marginal cost of producing good X.

Units of X	1	2	3	4	5
Marginal cost (\$)	45	40	30	20	20

Given that the total fixed cost is \$50, which level of output minimises average total cost?

- A** 2 units
- B** 3 units
- C** 4 units
- D** 5 units

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- 12 The law of diminishing returns will only apply in situations where
- A there is increasing scarcity of all factors of production.
 - B the price of a variable factor input is increasing.
 - C there is at least one fixed factor of production.
 - D capital is a variable factor input.
- 13 Which one of the following summarises the concept of returns to scale?
- A The average costs of a business change over the short run.
 - B The output of a business responds to any change in factor inputs.
 - C The average costs of a business change over the long run.
 - D The output of a business responds to a change in variable factor inputs when other factor inputs remain fixed.
- 14 The table below shows the total cost of a firm.

Output	Total cost (\$)
0	60
1	80
2	96
3	108
4	124
5	160
6	204

What is the average variable cost when 4 units of output are produced?

- A \$16
- B \$18
- C \$20
- D \$24

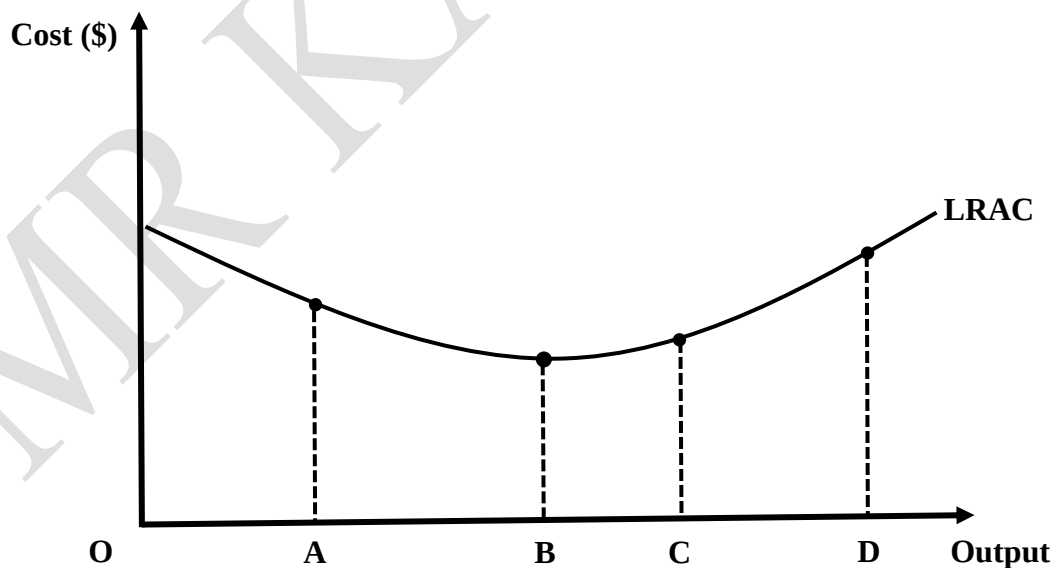
15 Which one of the following statements is correct in relation to the difference between short-run and long-run costs?

- A Short-run costs increase or decrease based on fixed costs, whereas in the long run there are no fixed costs.
- B There are no fixed costs in the short run but there are in the long run.
- C There are both fixed and variable costs in the long run.
- D There are no fixed costs in the long run but there are in the short run.

16 Diseconomies of scale result from

- A the indivisibility of plant and equipment.
- B bulky buying of materials.
- C less effective communication.
- D increased risk as firms increase their range of products.

17 The diagram below shows the long-run average cost curve of a firm.



At which level of output will the firm experience increasing returns to scale?

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- A** OA
- B** OB
- C** OC
- D** OD

- 18** The table below summarises information relating to how the demand for a firm's product changes in relation to changes in its price.

Price (\$)	Quantity demanded
24	1
18	2
14	3
10	4
6	5
2	6

What is the firm's marginal revenue when the 3rd unit is sold?

- A** \$12
- B** \$6
- C** -\$2
- D** -\$10

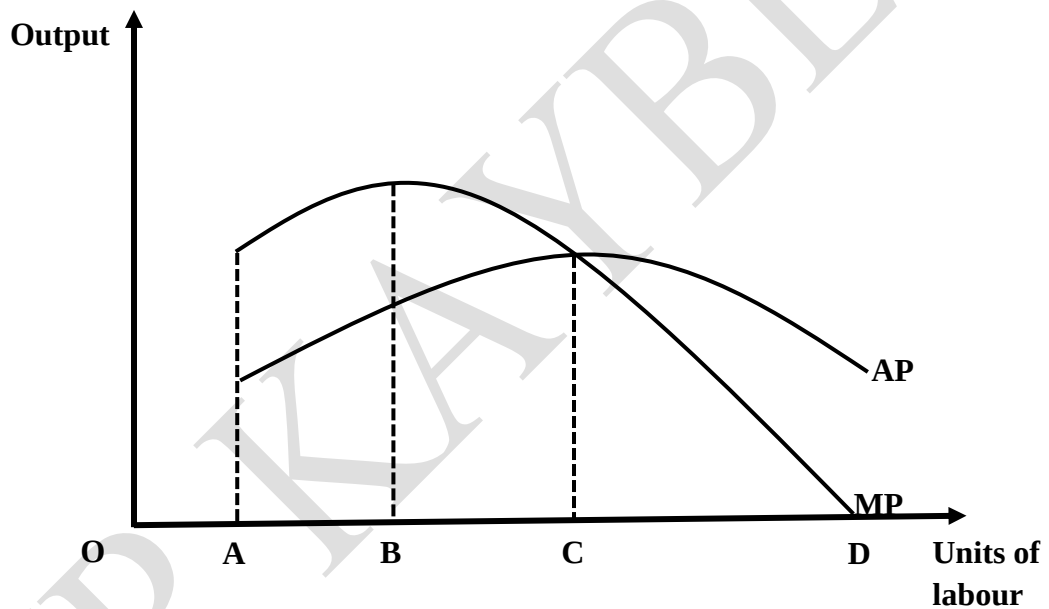
- 19** The demand curve is derived from the

- A** total cost.
- B** total revenue.
- C** average revenue.
- D** average cost.

20 As a firm increases its output, the average cost curve will

- A initially decrease when output increases and then increase when output increases.
- B initially increase when output increases and then decrease when output increases.
- C fall consistently as output increases.
- D not change gradient as output increases.

21 The diagram below shows the average product and marginal product of a firm operating in the short run.



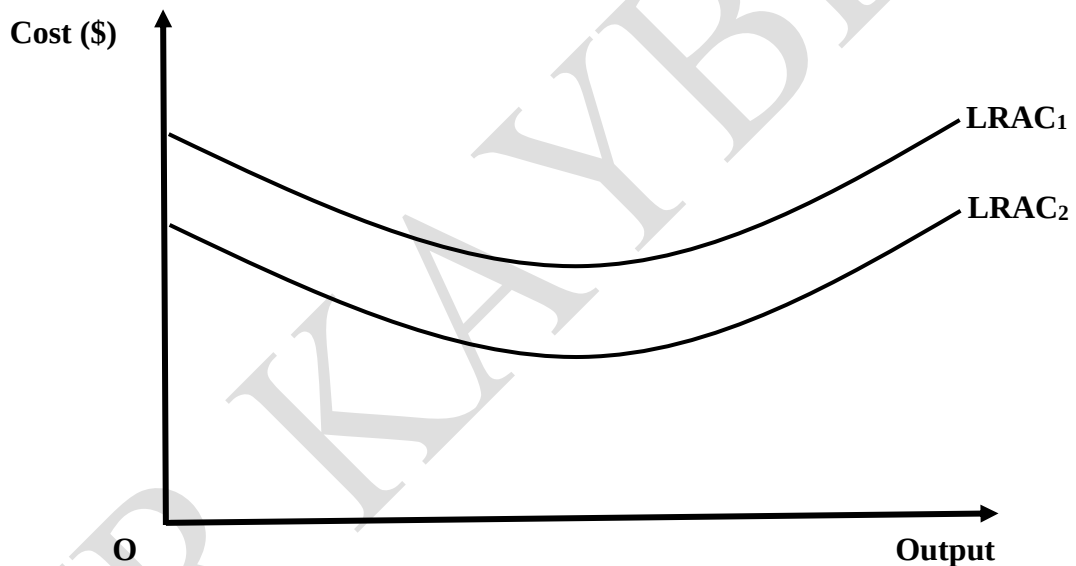
At which level of employment will diminishing marginal returns to labour set in?

- A OA
- B OB
- C OC
- D OD

22 Which one of the following statements is true in the long run with respect to a fall in a firm's labour productivity?

- A Total costs will fall
- B Average costs will rise
- C Marginal costs will fall
- D Fixed costs will rise

23 The diagram below shows two potential long-run average cost curves for the same firm.



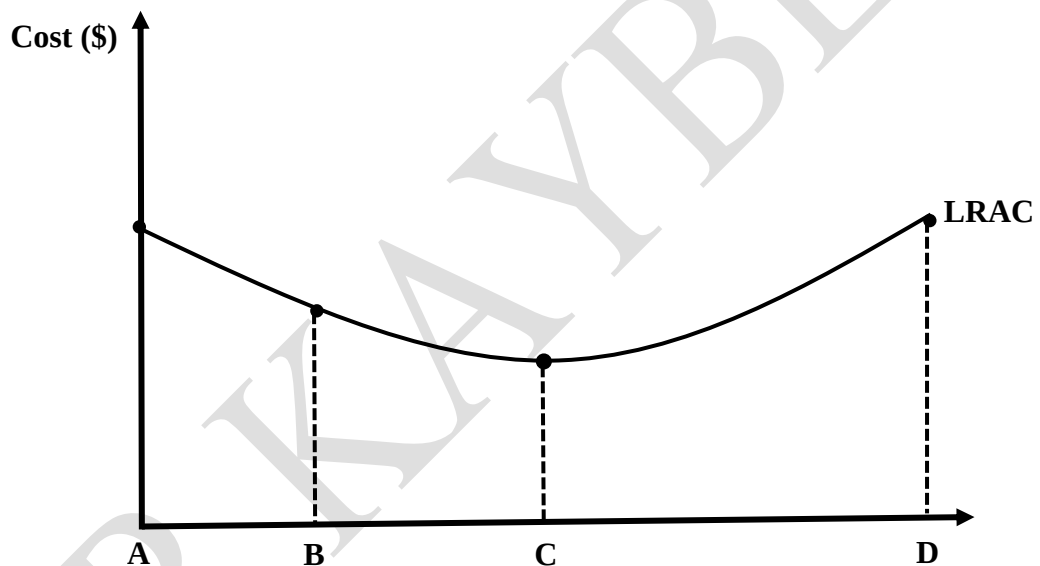
The shift from LRAC₁ to LRAC₂ is likely to be caused by

- A a reduction in the firm's productivity.
- B the exploitation of technological advancement.
- C an increase in corporation tax.
- D a reduction in the firm's productive efficiency.

24 What is marginal revenue?

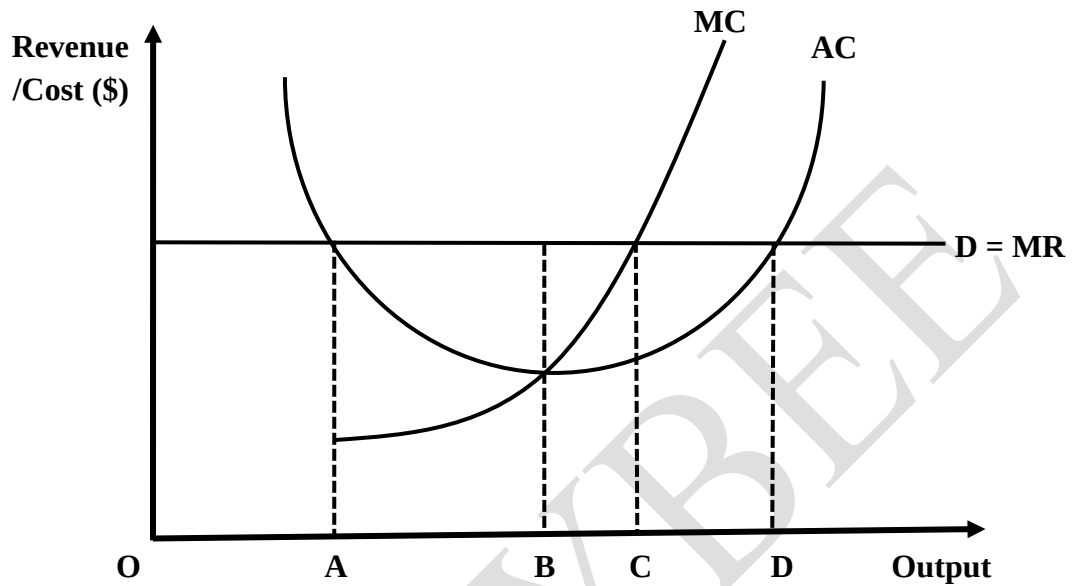
- A the difference between the total revenue of selling n units and $n - 1$ units of sales.
- B the difference between the average revenue of selling n units and $n - 1$ units of output.
- C the difference between the average total revenue of selling n units and $n - 1$.
- D the average variable cost of producing one more unit of output.

25 The diagram below shows the long-run average cost curve of a firm.



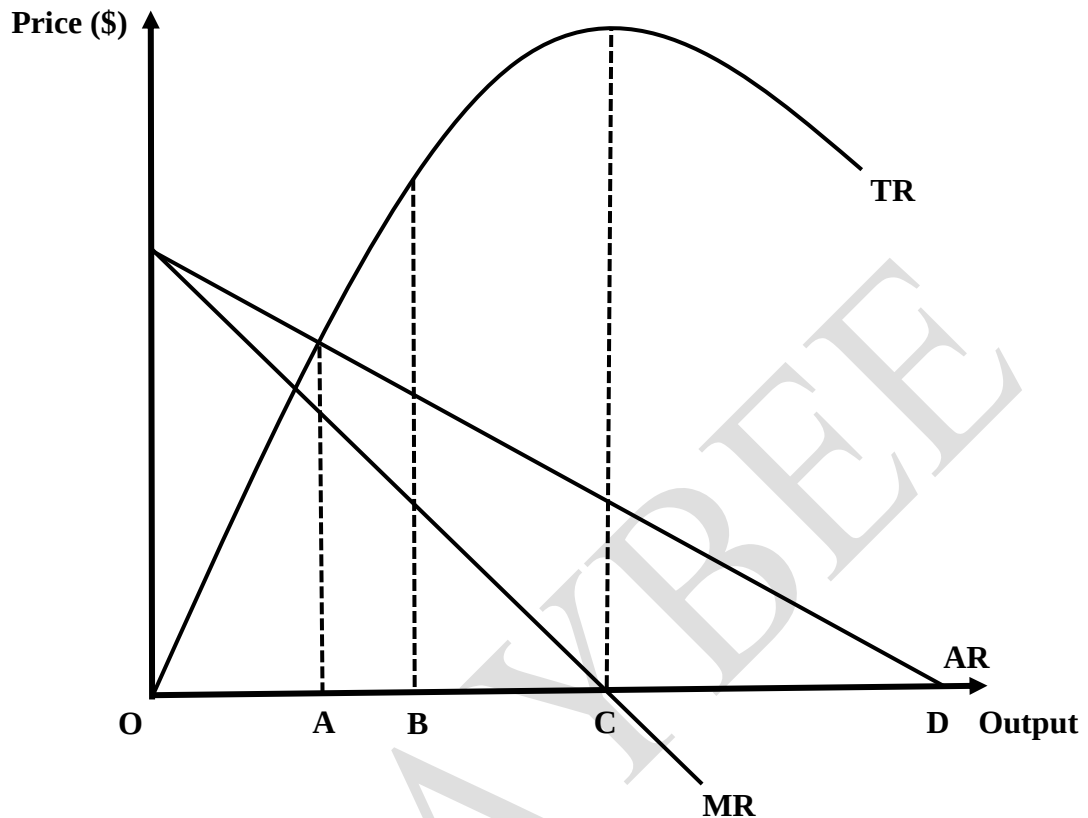
At which point A, B, C or D does the firm achieve productive efficiency?

- 26 The graph below shows short run production for a competitive firm.



At which point A, B, C or D does the firm achieve productive efficiency?

- 27 The diagram below shows the revenue curves of a firm.

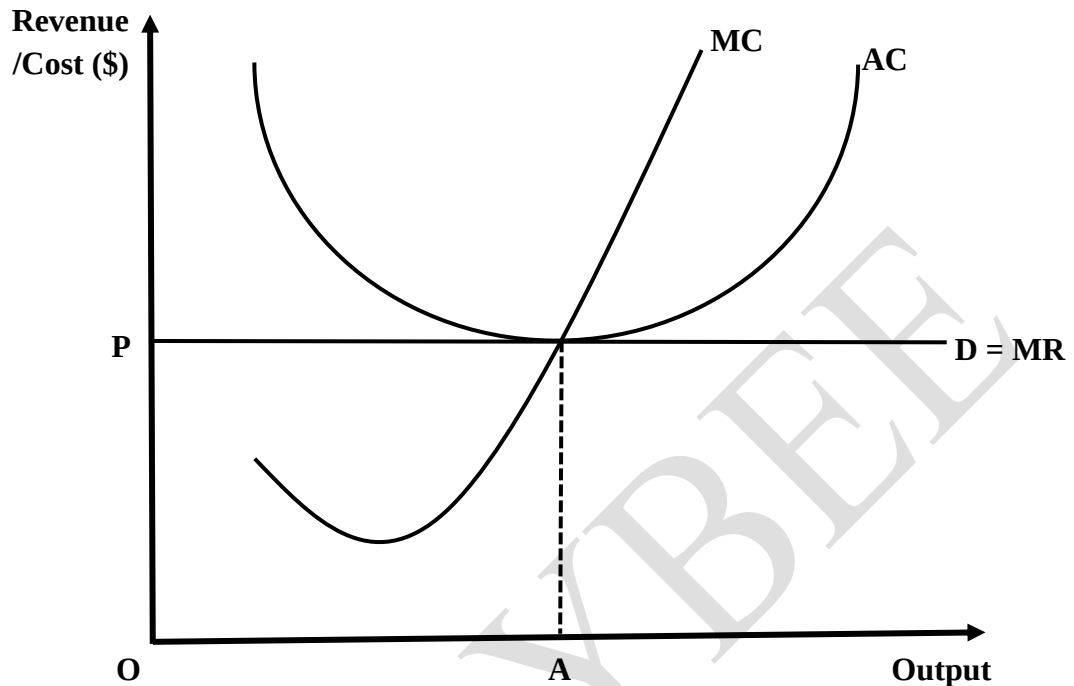


At which level of output is the price elasticity of demand unity?

- A OA
 - B OB
 - C OC
 - D OD
- 28 To minimize loss, a firm must produce that output which

- A equates average revenue and average cost.
- B equates marginal revenue and marginal cost.
- C equates marginal revenue and average cost.
- D minimizes loss per unit of output.

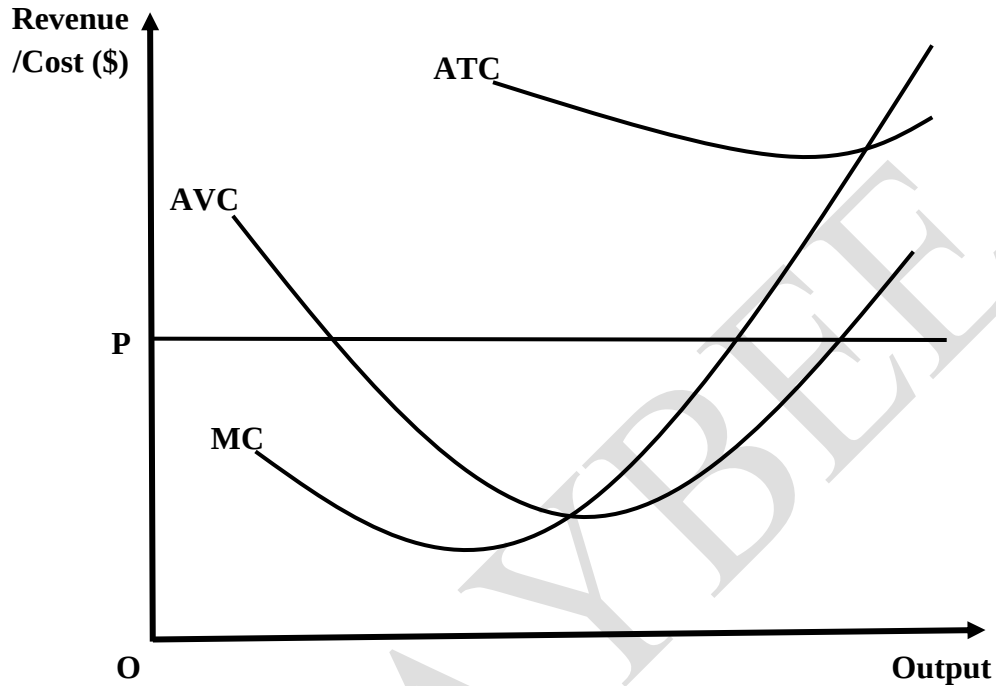
- 29 The diagram below shows the marginal cost, long-run average cost, marginal revenue and average revenue curves of a firm.



At the output level **OA**, what level of profit does the firm make?

- A Accounting profit
 - B Normal profit
 - C Zero profit
 - D Supernormal profit
- 30 Which one of the following statements describes one role of profit in a market economy?
- A To assist in channelling savings into investment.
 - B To reduce the negative externalities created in production.
 - C To enable the balance of payments to balance.
 - D To signal that profitable entry into a market may be possible.

- 31 The diagram below represents the revenue and cost conditions faced by a profit-maximising firm.

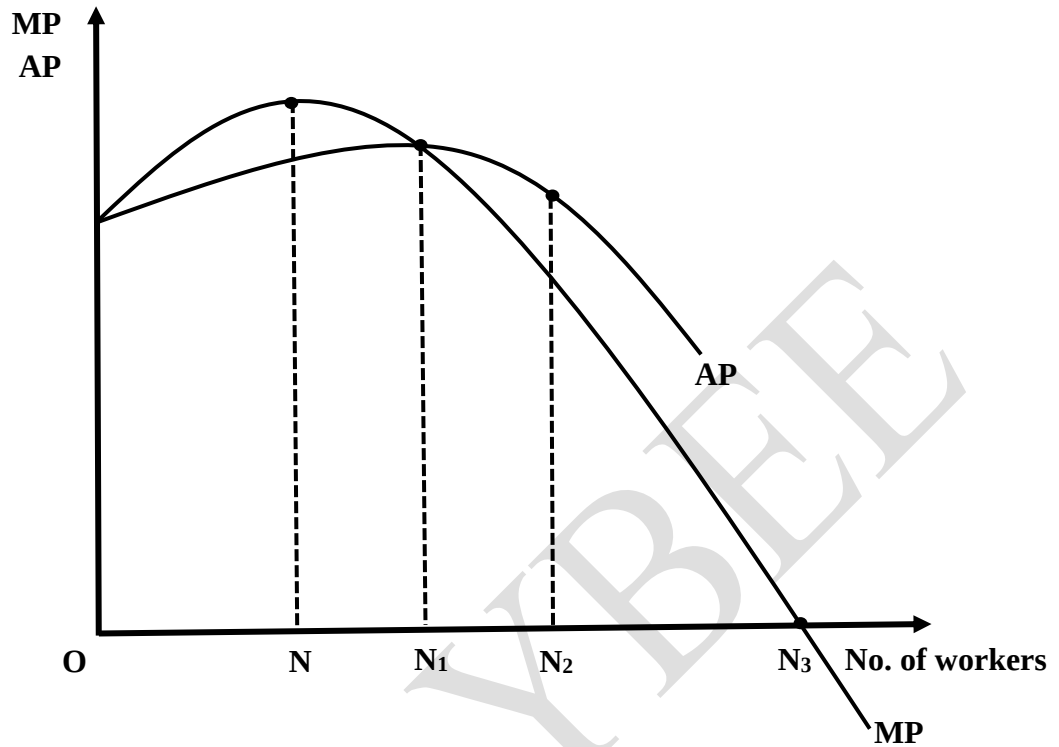


It indicates that the firm is earning

- A normal profit.
 - B supernormal profit.
 - C economic profit and will continue in production in the short run.
 - D less than normal profit but will continue to produce in the short run.
- 32 Minimum marginal cost occurs at the output where the

- A total product is at a maximum.
- B factors are combined in their best possible proportions.
- C average product of the variable factors is at a maximum.
- D marginal product of the variable factors is at a maximum.

- 33 At what output on the following diagram do diminishing returns set in?

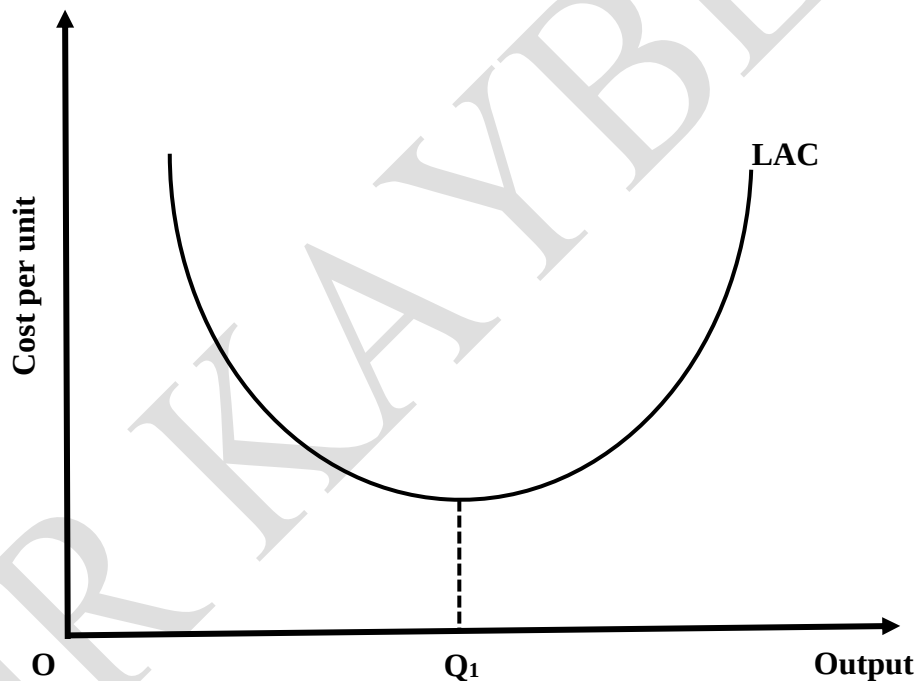


- A ON
 B ON_1
 C ON_4
 D ON_3
- 34 In the short run, the total revenue of the firm must cover
- A fixed costs.
 B variable costs.
 C total costs.
 D marginal costs.

- 35 A firm in perfect competition currently sells 100 units at \$15 each.
What will be the revenue obtained by the firm if it increases its price to \$20?

A \$0
B \$100
C \$1 500
D \$2 000

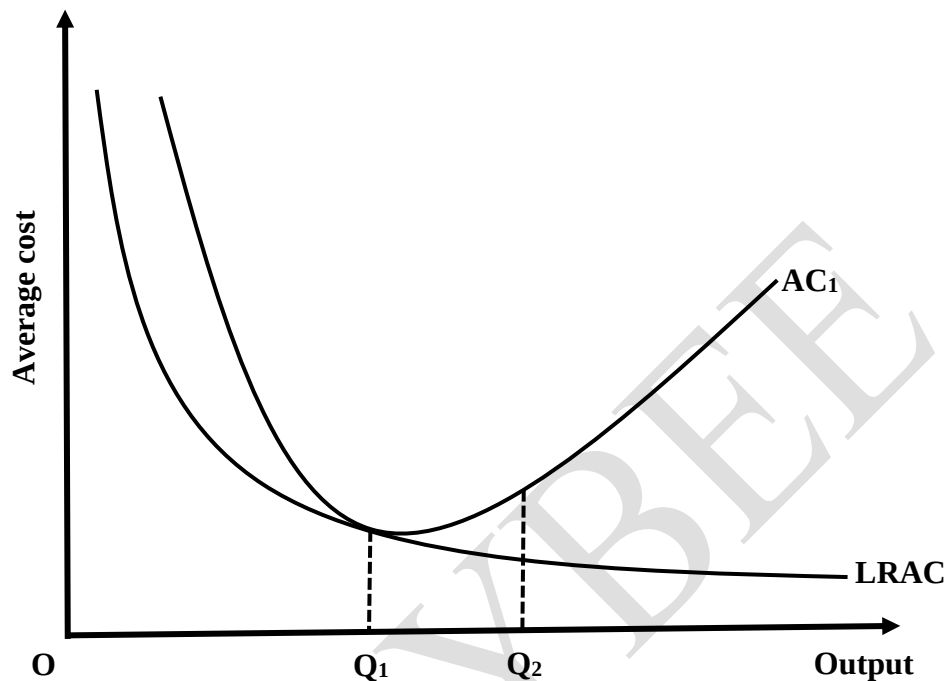
- 36 A firm's long-run average cost curve is shown below.



Which of the following is correct?

A OQ_1 is the break-even output.
B OQ_1 is the profit-maximising output.
C Up to Q_1 the firm faces decreasing returns.
D Up to Q_1 the firm faces increasing returns.

- 37 The diagram below shows a firm's average cost curve (AC_1) when it is operating plant size I and LRAC represents its long run average cost.



The reason for LRAC to be lower than AC_1 at output OQ_2 is that

- A the optimum capacity of plant size I is OQ_1 .
 - B LRAC embodies higher fixed costs than AC_1 .
 - C the LRAC embodies greater economies of scale.
 - D the market for the product is greater at OQ_2 than the optimum of plant size I.
- 38 A firm's average variable costs are \$30,00 at an output level of 20 000 units. Its total fixed costs are \$20 000.

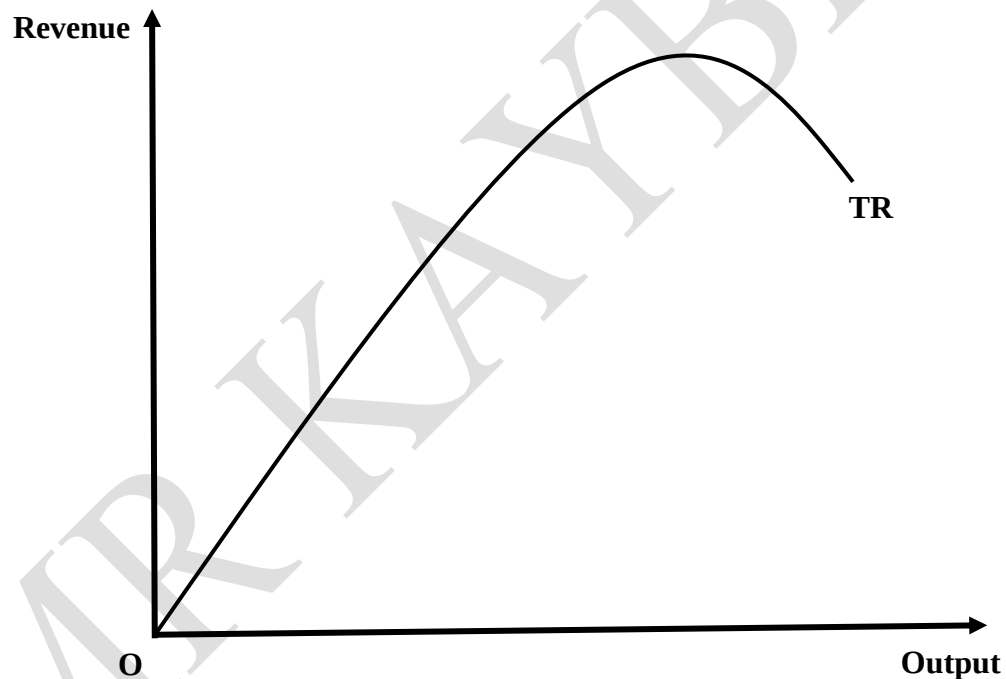
For the firm to earn normal profit, which price should it charge per unit?

- A \$1,00
- B \$3,00
- C \$30,00
- D \$31,00

39 When a firm increases all its inputs threefold its output increases twofold. What does this illustrate?

- A increasing returns to scale.
- B decreasing returns to scale.
- C the law of diminishing costs.
- D economies of scale.

40 The diagram below shows the total revenue curve of a firm.



When (TR) Total Revenue is at its maximum then

- A marginal revenue is zero.
- B marginal revenue is equal to marginal cost.
- C average revenue is equal to average cost.
- D marginal revenue is equal to average revenue.